

JUDGMENT SHEET
LAHORE HIGH COURT,
LAHORE
Judicial Department

FAO No.10741 of 2019
M/s. Agmore International (Pvt.) Limited, etc.
versus
Bank of Punjab. etc.

JUDGMENT

Date of hearing: 31.05.2022
Appellants by: Mr. Khawar Ikram Bhatti, Advocate.
Respondent No.1 by: Mr. Abdul Hameed Chohan, Advocate.

MUZAMIL AKHTAR SHABIR, J: Through this First Appeal against Order filed under Section 22 of the Financial Institutions (Recovery of Finances) Ordinance, 2001 (***'FIO, 2001'***), the appellants have called in question order dated 18.05.2017 passed by Judge Banking Court No.IV, Lahore (***'Banking Court'***), whereby application filed by the appellants under Section 12 of the FIO, 2001 read with Section 12 (2) of the C.P.C for setting aside *ex-parte* judgment and decree dated 04.05.2010 has been dismissed.

2. It is contended by the learned counsel for the appellants that incorrect addresses of the appellants were mentioned in the plaint and they were not properly served before proceeding *ex-parte* against them to decree the suit, which suit even otherwise was filed by an incompetent person as in Para No. 3 of the plaint, it was mentioned that the suit was being filed through Muhammad Ali Khan, Branch Manager, which was

incorrect as the plaint itself had been signed and verified by one, Muhammad Rauf, who had no authority on behalf of respondent-Bank to file recovery suit against the appellants. Further stated that the afore-referred objections were raised by the appellants in the application mentioned above, which were not given due consideration while dismissing the same and in view of the above, claims that by setting-aside the impugned order dated 18.05.2017, the application filed by the appellants for setting-aside *ex-parte* judgment and decree be allowed and they be provided opportunity to defend the suit filed against them.

3. On the other hand, learned counsel for the respondent-Bank has stated that the respondent/decree-holder-Bank had mentioned correct addresses of the appellants/judgment debtors as the addresses mentioned in the plaint were last known addresses of the appellants, who had themselves provided and got recorded the same in the documents executed by them with the respondent-Bank. Further stated that in para No. 3 of the plaint, the name of Muhammad Ali Khan was mentioned as Branch Manager through a typographical mistake whereas Muhammad Rauf, Vice President/Manager was transferred to New Garden Town Branch as Chief Manager in place of previous Manager and he in his capacity as Branch Manager had signed and also verified pleadings i.e., plaint in the said capacity and the Bank in the memo of parties was shown to be represented by the Bank Manager and not by said Muhammad Ali Khan, whose name had been mentioned through typographical error in afore-referred paragraph of the plaint.

4. We have gone through the record. The plaint shows that the same was filed by the decree-holder Bank through the Branch Manager of New Garden Town Branch, Lahore, in terms of Section 9 of the FIO, 2001, and was signed by Muhammad Rauf in his capacity as Branch Manager, therefore, the objection that the plaint had not been filed by any authorized person is not justified and the typographical mistake in the paragraph No. 3 of the plaint mentioning name of Muhammad Ali Khan as Branch Manager could not be used as a device to set-aside the decree by treating the plaint to have been filed by a person, who had not been authorized to file the same, especially when nothing is placed on the record to show that the signatory Muhammad Rauf was not the Manager of the said Branch when plaint was signed and suit was filed.

5. As regards the other objection that the appellants were not served and their incorrect address was mentioned in the plaint, suffice it to say that the said aspect of the matter has already been considered and decided in the judgments reported as **PLD 1990 SC 497** (*M/s. Ahmad Autos and another versus Allied Bank of Pakistan Limited*) and **2017 CLD 1247** (*Abdul Sattar versus Bank of Punjab through Branch Manager*), wherein it has been laid down that the service through any mode of service provided in the FIO, 2001 is deemed to be proper service of the parties and in the present case appellants having been served through publication in newspaper cannot claim that they were not properly served and seek setting-aside of *ex-parte* judgment and decree passed against them.

6. Moreover, service on the last known address is to be treated as proper service and the party, who has changed its address, cannot take the

benefit of change of address to call in question orders passed against it unless it shows from the record that the change of address was duly communicated by it to the Bank well within time and that too before proceedings were initiated for recovery of finance by filing a suit in the court against it, which was required to be done in view of rule that 'debtor must seek the creditor' whereby appellants were under obligation to intimate the Bank about change in their addresses but in the present case such obligation was not discharged as change of address was not conveyed and such omission on part of the appellants was fatal and they were to suffer from such omission and now cannot claim setting-aside of decree on ground that due to change of address they were not properly served. Reliance is placed on **2007 CLD 1552 (Lah)** (*Naseem ullah Khan versus United Bank Limited*). Reliance in this behalf may also be placed on the case reported as **2017 CLD 1140** (*Dr. Javed Iqbal and two others versus Askari Bank Limited through Attorney*), wherein the service of notices through publication and affixation on the last known address was treated as proper service against the party.

As both the afore-referred objections relating to non-service of notice on correct address and the suit being not filed by the authorized person, have not been made out in the given circumstances of the case and no illegality or jurisdictional defect has been pointed out in the impugned order, this Court is not inclined to interfere in the well founded order passed by the

Banking Court, whereby application for setting-aside *ex-parte* judgment and decree has been dismissed by the said court.

7. In view of above, the instant appeal being devoid of merit is **dismissed.**

(ABID AZIZ SHEIKH)
Judge

(MUZAMIL AKHTAR SHABIR)
Judge

Zeeshan Khan